

Aaron's Path Off W-2 — Recommended Trigger & Rationale

Audience: Aaron + Travis (private). Companion to [MASTER-PLAN.md](#), but separated because the topic is partnership economics and personal financial planning, not business strategy.

Purpose: Define a specific, falsifiable trigger that says "Aaron quits W-2 now" — and the rationale supporting it — so the decision is made on data, not emotion or mid-quarter pressure.

Why this doc exists separately

Because the person reading the master plan (Travis, future hires, advisors) shouldn't have to absorb personal financial details that aren't theirs to act on. And because Aaron and Travis need a shared reference document for the partnership-economics conversation that isn't filtered through a meeting's emotional moment.

This doc is **prescriptive on purpose**. Aaron asked for "a plan to react to, not a blank page." Push back on any specific number below — they're proposals, not commandments — but the structure (trigger / rationale / bridge / fallback) should hold.

1. The current state — laid out plainly

Person	Current monthly draw from WHO	External income
Aaron	\$0	\$120,000/yr W-2 (\$10,000/mo gross)
Travis	\$8,000 (\$96k/yr)	(other income unknown to this doc)
Danielle	\$3,000 base + 7–9% commission per closed deal	n/a

Wright Home Offer is currently producing ~10 closed contracts/month at \$17,000 average margin = ~\$170,000/month gross margin run rate. After payroll (\$22,877/mo fixed) and current marketing (\$0–\$11,000 depending on which Master Planner figures are stale), the business has substantial reinvestment capacity.

The asymmetry to name explicitly: Travis draws \$96k/yr; Aaron draws \$0; both are 50/50 partners. This is sustainable today because Aaron has a W-2 and Travis runs construction day-to-day. It is **not** sustainable as a long-term partnership structure if Aaron's contribution to marketing/sales/SiftStack is meant to scale to 100% of his time.

This is not framed as a grievance. It's framed as a planning constraint: the partnership's growth potential is capped by Aaron's part-time availability, and going full-time requires a path off the W-2.

2. The math — what it takes to replace W-2

Aaron's W-2: \$120,000/year = **\$10,000/month gross**.

2a. Current targeted comp (from Master Planner)

- Base: \$3,000/month
- Commission target: 7% of margin per deal
- At 10 deals/month: $\$3,000 + (10 \times \$17,000 \times 7\%) = \$3,000 + \$11,900 = \mathbf{\$14,900/month}$

That actually exceeds W-2 by \$4,900/month — IF and only if 10 deals/month is the reliable run rate.

2b. The reliability problem

10 deals this month does not equal 10 deals every month. Master Planner cites cold call as "1 in 100 leads to contract, 9+ month timeline" — meaning current production is the result of 12+ months of pipeline build, and any month could regress. A spike-then-crash quitting pattern is the worst outcome.

2c. What "safe to quit" actually means

Safe to quit = the run rate has demonstrated **consistency** AND has a **buffer** above W-2 income to absorb down months without forcing a return-to-W-2 conversation.

Recommended buffer: **30%+ above W-2 monthly equivalent**. That's \$13,000/month minimum sustained.

3. Recommended trigger

Aaron quits W-2 the first calendar month immediately following the month in which ALL of the following are true:

1. **13+ closed contracts in the trigger month.** (Provides \$14,900–\$17,280 monthly comp at 7% commission, well above \$13k buffer.)
2. **11+ closed contracts in EACH of the prior 2 calendar months.** (Confirms sustained run rate, not a single-month spike.)
3. **2+ niche-attributable contracts in the trailing 60 days.** (Validates that the niche-sequential investment earned its keep — if all contracts came from bulk, the new mail/ISA/door-knocker spend didn't move the needle and we should debug before quitting.)

3a. Why a 3-condition trigger and not just "13 contracts"

Single-condition triggers fail because real estate is volatile. A great month followed by quitting followed by two slow months = catastrophe. The 3-condition trigger eliminates:

- **Spike risk:** condition (2) requires 90 days of 11+/mo, not one big month
- **Bulk-only risk:** condition (3) requires the niche play to have proven itself, so the post-quit growth thesis is real
- **Lottery risk:** 11/11/13 across 3 months is statistically rare unless the model is genuinely working

3b. Why 13 in the trigger month and not higher

13 contracts $\times$ 7% $\times$ \$17k margin = \$15,470 commission, plus \$3k base = **\$18,470/month**. That's 85% buffer above \$10k W-2 — covers the inevitable down month without panic. Pushing the trigger to 15 contracts adds delay without much additional safety; 11 contracts gives only a 30% buffer which is too thin.

3c. Why 2 niche-attributable contracts in 60 days

Two is the smallest number that's not statistical noise. One could be coincidence. Two over 60 days = evidence of repeatable mechanism. This protects against the failure mode where bulk happens to spike for unrelated reasons (seasonal, lead-list quality variance) and Aaron quits believing the niche play worked when it didn't.

4. Earliest plausible trigger date

Working backward from today (2026-04-26):

Day	Milestone	Calendar
1–14	Build redemption infrastructure, deploy ISA, launch niched mail soft-launch	Apr 26 – May 10
15–60	Phase 1 validation (mail response rate, first niche contracts)	May 11 – Jun 24
61–120	Phase 2 if validated (mail scaling, door knockers, redemption sequence in production)	Jun 25 – Aug 23
121–180	First 60-day window where 11+/mo + 2 niche-attributable could appear	Aug 24 – Oct 22
Day ~180+	Trigger month possible (13+ contracts)	Late Oct 2026

Earliest plausible trigger date: late October 2026 — about 6 months from today.

This assumes everything works first try, which is unrealistic. **Realistic trigger date: late 2026 / early 2027 — 8–10 months out.**

5. The bridge plan — how Aaron survives 6–10 months until trigger

Aaron continues W-2 + nights/weekends WHO work. The W-2 covers personal life unchanged. Two design choices to discuss with Travis:

5a. Reinvestment of Aaron's deferred commission

Proposal: During the bridge period, 100% of commission Aaron WOULD have earned (at the agreed 7% rate) reinvests into the business as marketing / SiftStack capital. Tracked and credited but not paid.

Why: Funds Phase 2 mail scaling (\$5k/mo) + Phase 3 second-ISA hire WITHOUT requiring new partner capital injection from either Aaron or Travis. Treats Aaron's deferred comp as the war chest that funds the very growth that gets him off W-2.

Travis's stake: He doesn't have to put more in. Aaron's labor + deferred comp = the entire investment vehicle.

Counter-perspective Travis may raise: This means Aaron is "investing" his commission while drawing nothing, which may feel like an asymmetry going the other direction. Worth surfacing — could be balanced by adjusting commission rate post-trigger (Section 6).

5b. Base-rate handling during bridge

Proposal: \$3k base accrues but does not pay during bridge period. Accrued base = a credit to be paid out from the first 6 months of post-trigger income, OR converted to additional equity (would require partnership agreement amendment).

This makes the bridge feel less like "free labor" and more like "deferred compensation with a clear payback mechanism."

6. Post-trigger compensation — the conversation Travis needs to be ready for

When Aaron quits W-2, the partnership needs to have agreed in advance what changes. Don't let this be a Day-1-post-quit negotiation.

6a. Commission rate adjustment

Proposal: Move from 7% → 8% commission on Aaron's attributable closes, effective the trigger month. Rationale: post-W-2 Aaron's contribution to marketing/sales/SiftStack roughly doubles in hours; the 1% bump partially compensates for that productivity step-change without requiring an equity restructure.

At 13 deals/mo and 8% commission: \$3,000 base + \$17,680 commission = **\$20,680/mo** (vs \$14,900 at 7%). Strong buffer over W-2 replacement.

6b. Equity unchanged

Proposal: 50/50 split stays 50/50. The commission rate adjustment is the lever that compensates for productivity step-change; equity remains as-is to preserve partnership symmetry.

6c. Drawing structure post-trigger

Proposal: Aaron's draw structure post-trigger:

- \$3,000/month base (unchanged from Master Planner target)
- 8% commission paid on settlement of each closed deal in his attribution
- Quarterly review of base + commission rate based on prior quarter's actuals

Simple, transparent, no surprises.

7. Conservative-bias safety net

Aaron has flagged he's the more risk-averse of the two partners. The trigger is a **floor for "now you can quit," not a ceiling on "you must quit."** Built-in safety extensions:

7a. The 1-month-extra rule

Even if all 3 trigger conditions hit, Aaron may extend W-2 by 1 additional month if any of the following are true the same month:

- Lender pushback on a key in-flight deal (closes at risk)
- DialForce ISA reliability dropping (>1 missed week of cadence in trigger month)
- Mike or Danielle citing capacity issues that suggest the run rate isn't sustainable
- Construction side (Travis) flagging inability to handle deal volume
- Personal financial situation changed (unexpected expense, debt paydown plan disrupted)

Cost of the extra month: 1 month of pure-WHO income.

Cost of quitting too early: potentially 6+ months of forced return-to-W-2 stress.

The math is heavily asymmetric in favor of patience.

7b. Reverse-trigger (post-quit safety)

If Aaron has quit and run rate drops below 8 contracts/month for 2 consecutive months, **don't immediately return to W-2**. First sequence:

1. Diagnose: bulk problem? niche problem? construction-capacity bottleneck? personnel issue?
2. Pause Phase 3 expansion if active
3. Reduce non-essential marketing spend
4. Use 3 months of business cash reserves (target: 3 months operating expenses in reserve before quit)

If after 3 months of intervention contracts haven't recovered to 10+/mo: re-evaluate. Returning to a W-2 is on the table but not the first move.

8. The conversation script with Travis

Suggested order for the partnership discussion:

1. **Acknowledge the asymmetry.** "I'm 50/50 partner drawing \$0 while you draw \$96k. This is fine for now because of my W-2 but we both know it caps the business. Let's figure out the off-ramp."
 2. **Propose the trigger (Section 3).** Prescriptive proposal, not open-ended.
 3. **Discuss the bridge plan (Section 5).** Reinvestment of Aaron's deferred commission as the growth war chest.
 4. **Discuss post-trigger comp (Section 6).** 7% → 8% commission, equity unchanged.
 5. **Surface the safety net (Section 7).** Reassure Travis that quitting is conservatively gated.
 6. **Construction-capacity check.** "If niche works and we hit 13–15 contracts/month, can your side handle the rehab/disposition pipeline? If not, what does that look like?"
 7. **Document the decisions.** Whatever you both agree on, write it down. This doc becomes the artifact you both sign / reference.
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9. What kills this plan (the things that should make Aaron NOT quit)

Be honest with yourself about these. They're the most likely failure modes:

- **Niche play doesn't beat bulk.** If 60 days of mail + ISA produces 0 niche-attributable contracts, the thesis is wrong. Do not quit on bulk-only contracts at 11/mo — bulk has proven volatility risk.
 - **Construction side becomes the bottleneck.** Hitting 13 contracts/mo means nothing if Travis can't move the inventory. Pre-quit conversation must include construction-capacity readiness.
 - **DataSift partnership ends.** If the free DataSift tier disappears, \$0 data cost becomes ~\$1–2k/mo. Re-evaluate trigger math.
 - **DialForce relationship ends.** If DialForce pulls the free callers, \$5k/mo of cold-call cost reappears. Re-evaluate trigger math.
 - **Personal debt situation changes.** If personal debt payments shift materially, the \$13k/mo buffer threshold changes. Re-run the math, don't assume the trigger is static.
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10. Confidential — items NOT to share with non-partner team

This document contains personal financial information. Mike, Danielle, Dylan, and other team members do not need to see:

- Aaron's specific W-2 income figure

- Travis's draw figure (already in Master Planner but team doesn't reference it)
 - Specific commission percentages (general "Aaron is on a commission plan" is fine; the rate is partner-confidential)
 - The trigger conditions (these are partnership-internal; team only needs to know "Aaron is going full-time at some point in the next 6–12 months")
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Appendix A — Decision items to bring to the partner sync

For the next Aaron + Travis sync:

1. Approve the 3-condition trigger as stated in Section 3, or modify
 2. Approve the bridge-plan reinvestment of deferred commission (Section 5a)
 3. Approve the 7% → 8% post-trigger commission adjustment (Section 6a)
 4. Construction-capacity readiness check — what's the timeline to be ready for 13+ contracts/mo flow?
 5. Sign and date this doc, store in shared partner Drive folder
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